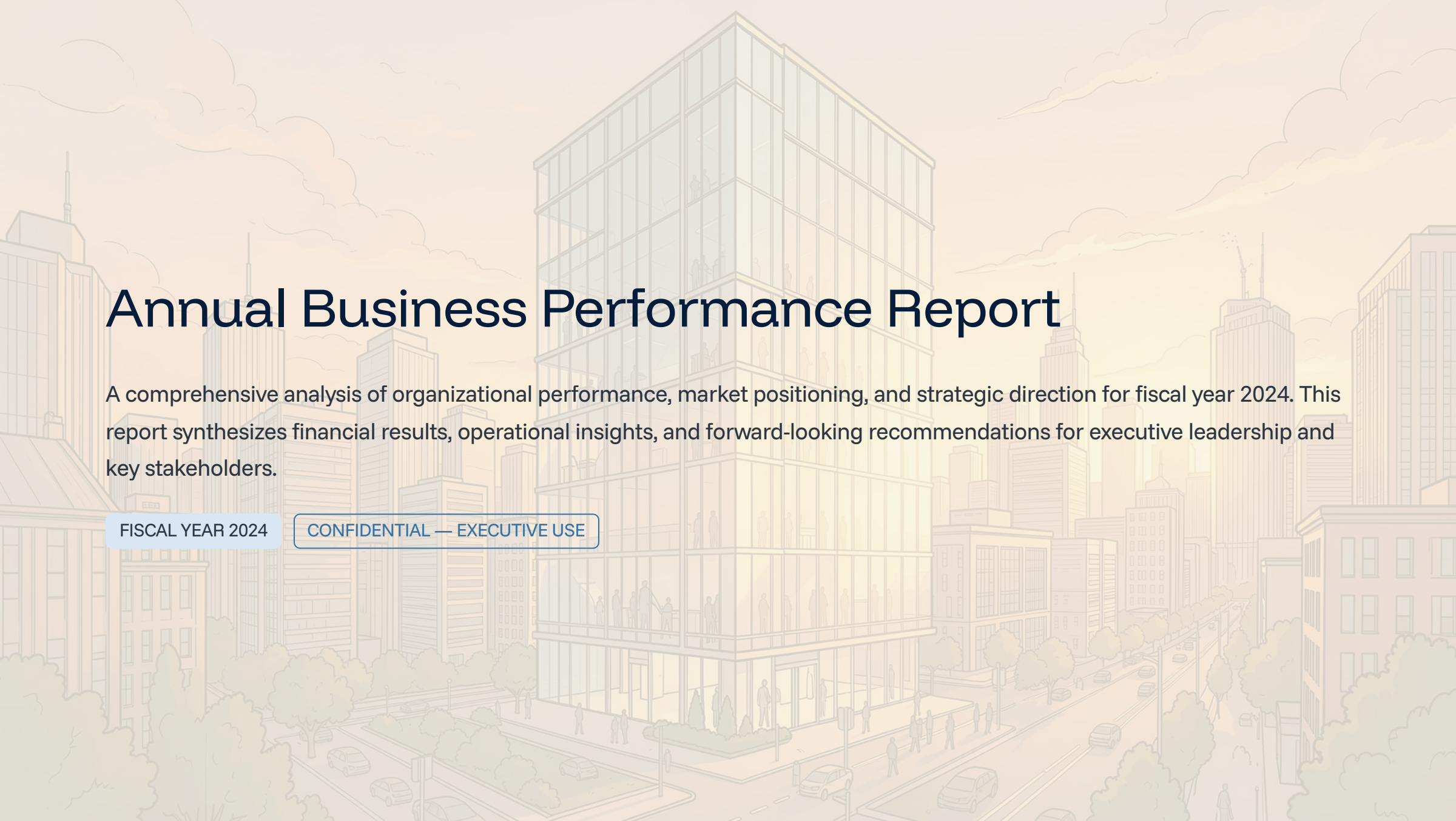


The background of the slide is a stylized, light-colored illustration of a city skyline. The central focus is a tall, modern glass skyscraper with many windows, some of which show silhouettes of people working. This central building is surrounded by other, slightly less detailed buildings of varying heights. In the foreground, there are green trees and a street with cars and pedestrians, suggesting a vibrant urban environment. The overall color palette is soft and pastel, with shades of yellow, orange, and light blue.

# Annual Business Performance Report

A comprehensive analysis of organizational performance, market positioning, and strategic direction for fiscal year 2024. This report synthesizes financial results, operational insights, and forward-looking recommendations for executive leadership and key stakeholders.

FISCAL YEAR 2024

CONFIDENTIAL — EXECUTIVE USE

# Executive Summary

Fiscal year 2024 delivered strong results across core business segments, with revenue growth of **18% year-over-year** and meaningful gains in operational efficiency. The organization successfully expanded into two new regional markets, launched three flagship products, and achieved record customer satisfaction scores. Despite macroeconomic headwinds and supply chain volatility, the business demonstrated resilience and disciplined capital allocation.

**\$142M**

Total Revenue

Up 18% from FY2023

**23%**

EBITDA Margin

Exceeding target by 3 pts

**1.2K**

Enterprise Clients

Net addition of 180 logos

**94%**

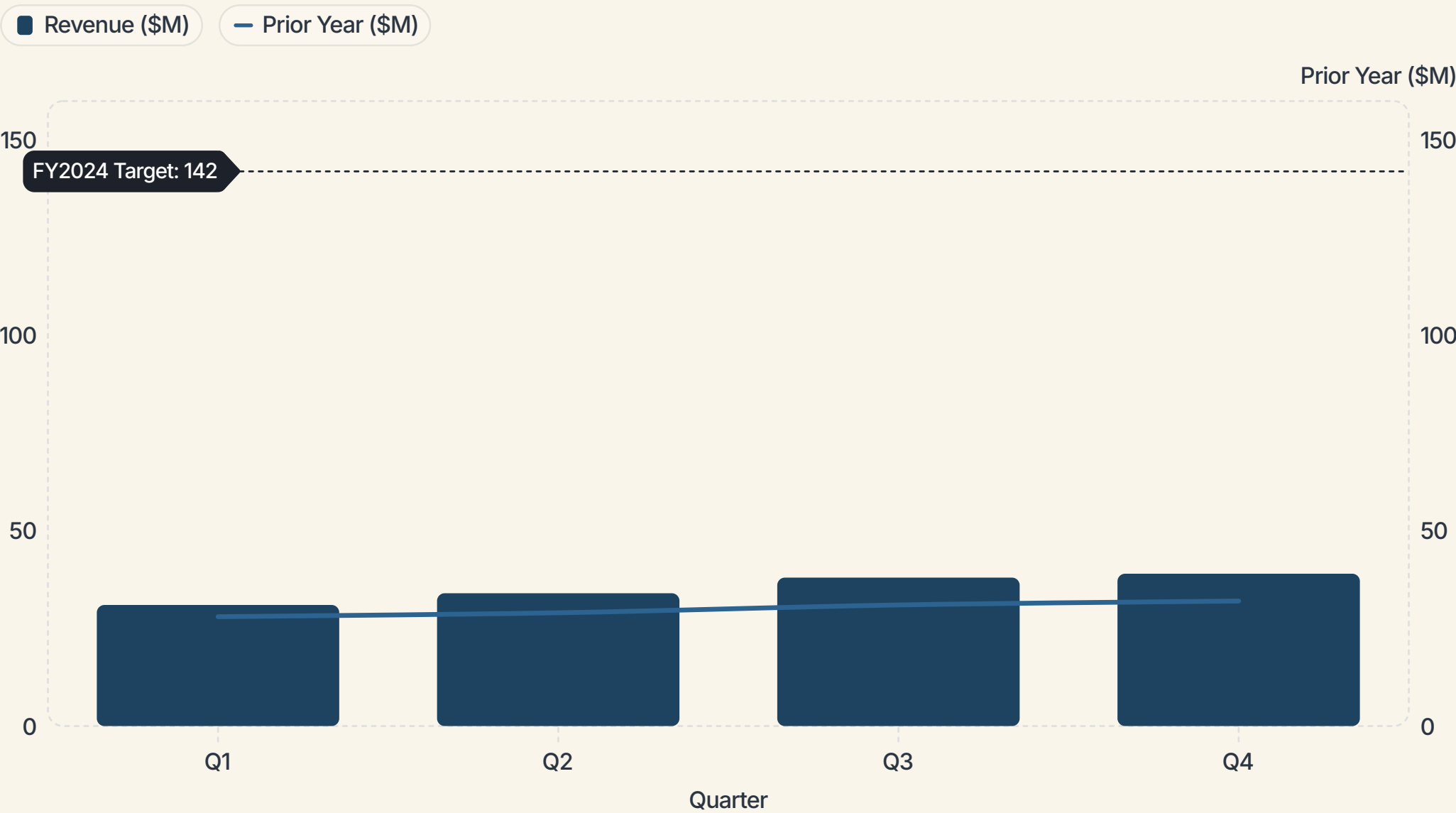
Retention Rate

Best in class benchmark

Strategic priorities for the coming year include accelerating digital transformation initiatives, deepening vertical market penetration, and investing in talent development to sustain competitive advantage. The board has authorized a **\$28M capital investment program** to fund these priorities while maintaining a healthy balance sheet and strong liquidity position.

# Financial Performance

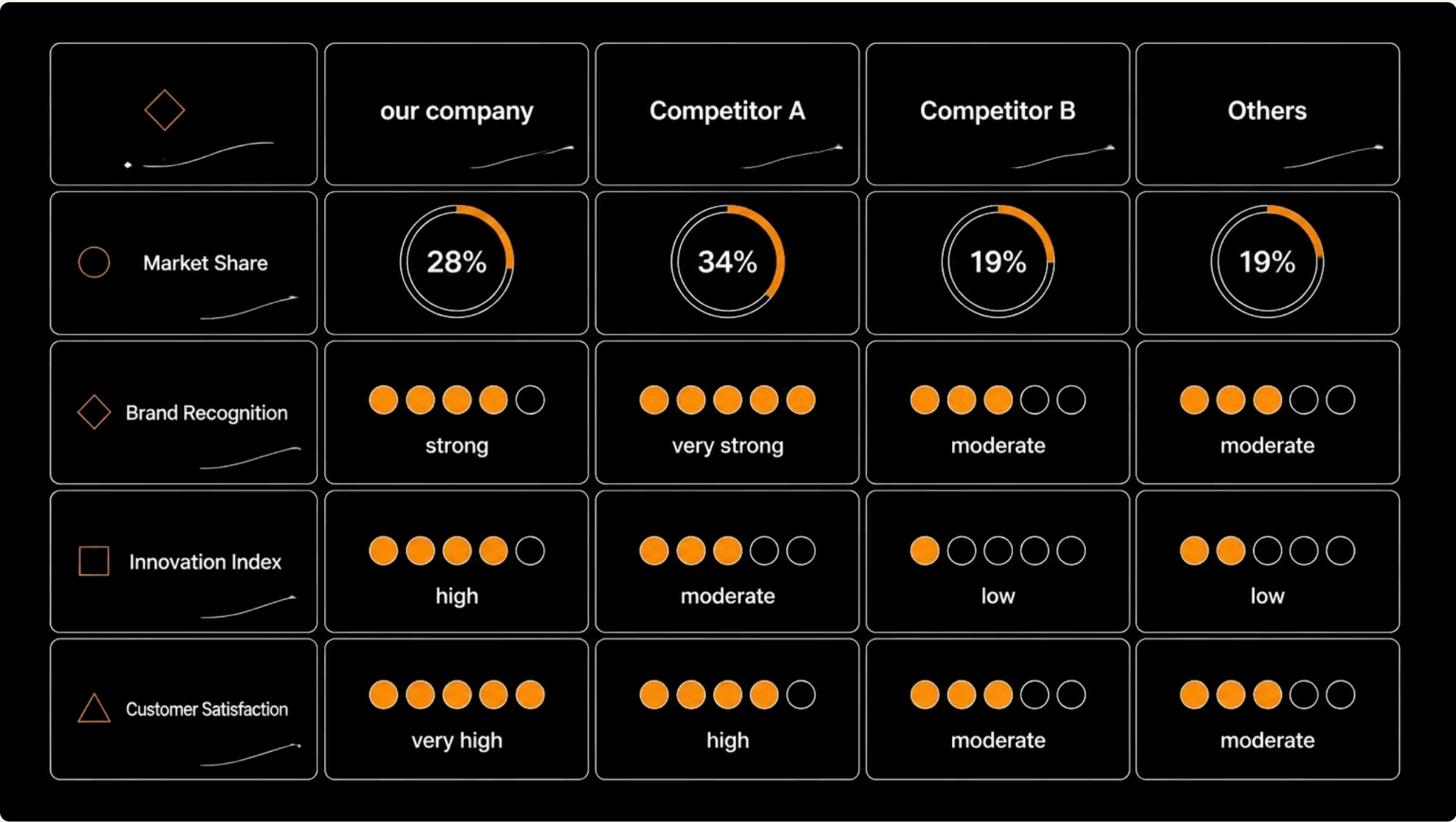
Revenue growth accelerated throughout the year, driven by strong enterprise sales performance and recurring subscription revenue. Cost discipline initiatives delivered margin expansion of 310 basis points compared to the prior year. The chart below illustrates quarterly revenue trajectory against the prior-year baseline.



Fourth quarter results benefited from strong enterprise renewal cycles and the successful launch of our premium tier offering. Operating expenses grew at 9% — well below the revenue growth rate — reflecting disciplined headcount management and automation investments. Free cash flow reached **\$27M**, enabling continued investment in R&D and a return of capital to shareholders through a modest dividend initiation.

# Market Position & Competitive Landscape

The organization holds a **#2 market share position** in its primary segment, with a widening gap over third-place competitors. Brand equity scores improved 12 points year-over-year, reflecting successful marketing campaigns and product quality investments. Customer acquisition costs declined 8% as referral and inbound channels gained traction.



Competitor A maintains the leading market share position but has shown slowing innovation velocity, creating a window of opportunity. Our company leads in customer satisfaction and has closed the innovation gap significantly over the past 18 months. Strategic partnerships formed in Q2 and Q3 have expanded our addressable market by an estimated **\$40M in incremental revenue potential**. Continued investment in brand positioning and thought leadership will be critical to converting this advantage into share gains over the next two years.

# Operational Efficiency

## Key Efficiency Gains

- Order fulfillment cycle reduced by 31%
- IT infrastructure costs down 18% via cloud migration
- Employee productivity index up 14%
- Vendor consolidation saved \$4.2M annually
- Defect rate improved to 0.8% (best on record)

## Process Transformation Highlights

The operational excellence program delivered measurable improvements across all business units. Automation of back-office functions freed approximately 12,000 person-hours for higher-value activities. The supply chain redesign reduced lead times by an average of 6 days while improving on-time delivery to 97%.

- Lean Six Sigma initiatives generated \$8.3M in documented cost savings, exceeding the \$6M target by 38%.

# Human Capital & Talent Strategy

Workforce strength remains a core competitive differentiator. Headcount grew 11% to support expansion, with strategic hires concentrated in engineering, data science, and customer success. Voluntary turnover declined to 7.2% — the lowest in five years — reflecting improved compensation competitiveness and a strengthened culture program.



## Learning & Development

\$1.8M invested in upskilling programs. 91% of employees completed mandatory training; 64% participated in elective development courses.



## DEI Progress

Women in leadership reached 42% (up from 35%). Underrepresented minorities in technical roles increased to 28%, against a 25% target.



## Employee Engagement

Annual engagement survey scored 82/100, up 6 points. eNPS of +54 places the organization in the top quartile of industry benchmarks.

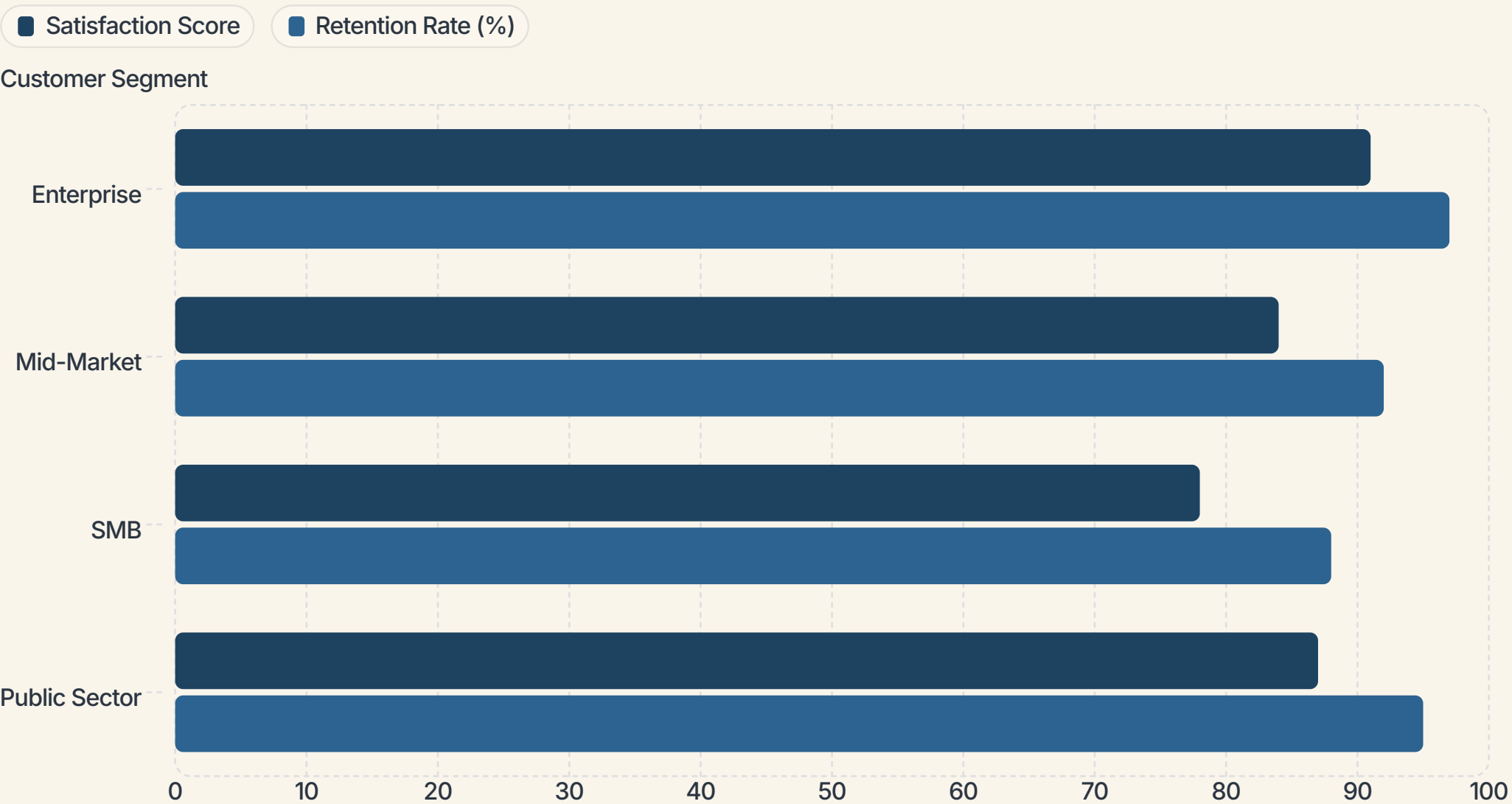


## Hybrid Work Model

Structured hybrid policy (3 days in office) achieved 89% employee satisfaction. Real estate footprint reduced 15%, saving \$2.1M annually.

# Customer Insights & Satisfaction

Customer-centric metrics reached all-time highs in FY2024. Net Promoter Score improved to **72**, driven by enhanced onboarding experiences and proactive account management. Churn declined to 6%, with the strongest retention observed in enterprise-tier accounts.



Qualitative research identified product reliability, responsive support, and integration capabilities as the top three drivers of customer loyalty. The customer success team expanded to 45 FTEs, enabling a 1:12 CSM-to-account ratio for enterprise clients. A new customer advisory board was established, providing structured input into the product roadmap and service delivery improvements.



# Risk Assessment & Mitigation

The enterprise risk management framework identified five primary risk categories requiring active monitoring and mitigation. The risk register is reviewed quarterly by the audit committee and updated in response to evolving market conditions.

## Cybersecurity & Data Privacy

**Risk Level: High.** Increasing sophistication of threat actors and evolving regulatory requirements (GDPR, CCPA) demand continued investment. Zero-trust architecture deployment is 70% complete; full implementation targeted Q3 2025.

## Supply Chain Disruption

**Risk Level: Medium-High.** Geopolitical tensions and single-source dependencies remain concerns. Dual-sourcing strategy now covers 82% of critical components, up from 54% in FY2023.

## Talent Retention

**Risk Level: Medium.** Competitive labor market in technology roles creates ongoing pressure. Enhanced equity compensation and career pathway programs are mitigating attrition risk effectively.

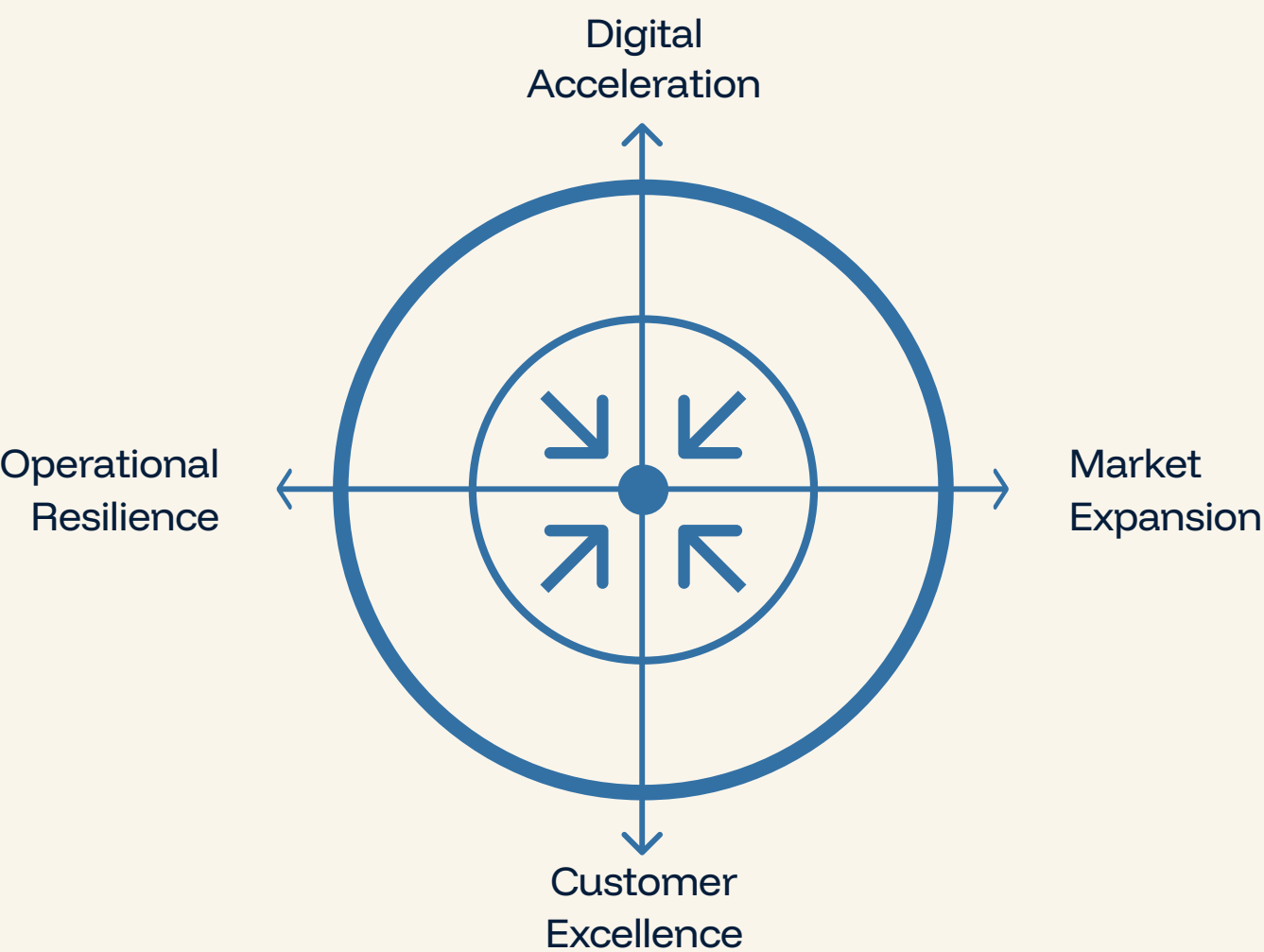
## Regulatory Compliance

**Risk Level: Medium.** Expanding regulatory landscape in AI governance and financial services requires dedicated compliance resources. A new regulatory affairs function was established in Q4.



# Strategic Priorities for FY2025

Building on FY2024 momentum, the strategic agenda for FY2025 centers on four interconnected pillars designed to accelerate growth, strengthen market position, and build long-term organizational resilience. Each priority is backed by dedicated funding, clear ownership, and measurable milestones.



**Digital Acceleration** will focus on embedding AI capabilities across the product portfolio and modernizing the core technology platform to support next-generation features. **Market Expansion** targets entry into three new geographic markets and deeper penetration of the healthcare and financial services verticals. **Customer Excellence** initiatives will transform the end-to-end customer journey through enhanced onboarding, proactive success management, and expanded self-service capabilities. **Operational Resilience** encompasses supply chain diversification, enhanced risk management frameworks, and progress toward the organization's sustainability commitments, including a 20% reduction in carbon intensity. The board has allocated **\$28M in capital investment** across these four pillars, with detailed execution plans to be finalized by the end of Q1 2025.

# Conclusions & Recommendations

FY2024 demonstrated the organization's capacity to deliver strong financial performance while investing in long-term strategic capabilities. The following recommendations are presented for board and executive consideration.

## 1 Accelerate Digital Investment

Commit to a 3-year technology modernization roadmap with dedicated funding of \$12M annually. Prioritize AI-enabled product features and cloud-native architecture to maintain competitive parity.

## 2 Expand Geographic Footprint

Authorize market entry into Southeast Asia and Northern Europe in H1 2025. Establish local partnerships and hire regional leadership to reduce time-to-revenue.

## 3 Strengthen Talent Pipeline

Launch a structured leadership development program and expand university recruiting. Target 15% increase in technical headcount to support product roadmap ambitions.

## 4 Enhance ESG Commitments

Publish a formal sustainability report aligned with SASB standards. Set science-based emissions targets and integrate ESG metrics into executive compensation frameworks.



The organization enters FY2025 with a strong balance sheet, a differentiated product portfolio, and a highly engaged workforce — well-positioned to capture emerging market opportunities.